

INDIAN FERTILISER'S STRAIT PROBLEM

THE FERTILISER BUILDING BLOCKS - N, P, K

AT ITS CORE, FERTILISERS ARE BUILT ON THREE KEY NUTRIENTS: NITROGEN (N), PHOSPHORUS (P), AND POTASSIUM (K). EVERY BAG OF FERTILISER YOU SEE—UREA, DAP (DIAMMONIUM PHOSPHATE), MOP (MURIATE OF POTASH), OR NPK IS ESSENTIALLY A BLEND OF THESE THREE. LET US BREAK IT DOWN ONE BY ONE:

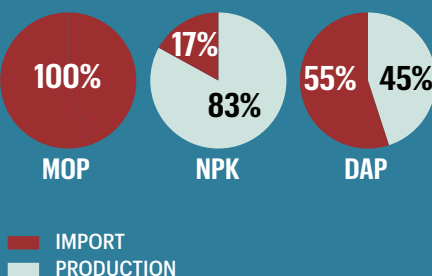
NITROGEN (N): INDIA PRODUCES ROUGHLY 87% OF ITS UREA DOMESTICALLY. BUT HERE'S THE CATCH—UREA COMES FROM AMMONIA, AND AMMONIA IS LARGELY MADE USING NATURAL GAS, MUCH OF WHICH IS IMPORTED FROM WEST ASIA. ON TOP OF THAT, A SIGNIFICANT SHARE OF INDIA'S IMPORTED UREA FLOWS IN FROM THE SAME REGION.

PHOSPHATE (P): INDIA IMPORTS AROUND 60% OF ITS DAP, LARGELY FROM WEST ASIA. EVEN DOMESTIC PRODUCTION ISN'T FULLY INSULATED AS MAKING DAP REQUIRES AMMONIA (AND, THEREFORE, NATURAL GAS).

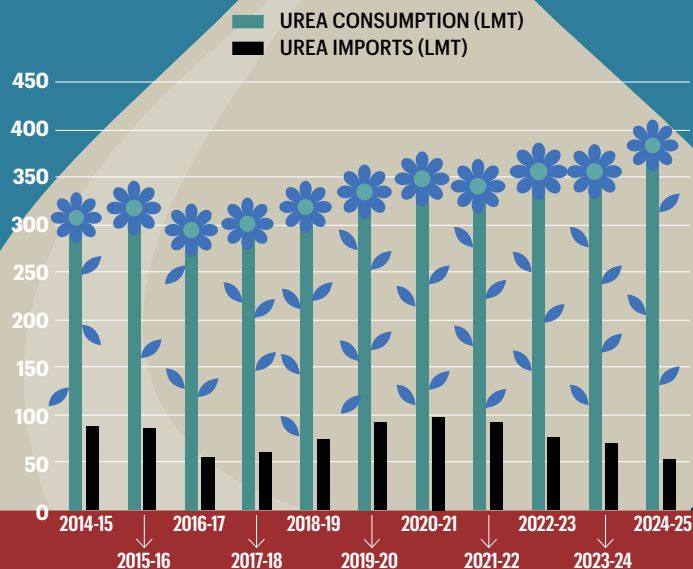
POTASH (K): THIRD COMPONENT IS LESS DEPENDENT ON NATURAL GAS BUT IMPORTED ENTIRELY. SO, WHILE SUPPLY ISN'T DIRECTLY HIT, DISRUPTIONS STILL SHOW UP IN HIGHER FREIGHT COSTS AND DELAYED SHIPMENTS.

THE IMPORT DEPENDENCE

IN NPK, INDIA IS IN A MUCH SAFER PLACE; DAP AND MOP SUPPLY MIGHT GET SQUEEZED DUE TO NIL OR LIMITED PRODUCTION



SOURCE ICRA REPORT



SOURCE MINISTRY OF CHEMICALS & FERTILIZERS